NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (Court-II), CHANDIGARH

CP (CAA) No. 44/Chd/Hry/2023
(2nd Motion)

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

1. DLF CITY CENTRE LIMITED
having its registered office at
11th Floor, Gateway Tower,
DLF City, Phase-III,
Gurugram-122002, Haryana.
PAN: AACCD9372R
CIN: U70102HR2008PLC084410

…..Petitioner No.1/Transferor Company No.1

AND

2. DLF LANDS INDIA PRIVATE LIMITED
having its registered office at
DLF Gateway Tower, First Floor, R-Block,
DLF City, Phase-III,
Gurugram-122002, Haryana.
PAN: AADCB4488K
CIN: U70102HR2007PTC036798

…..Petitioner No.2/Transferor Company No.2

AND

3. DLF INFO CITY DEVELOPERS (KOLKATA) LIMITED
having its registered office at
10th Floor, Gateway Tower,
Phase-III, Gurugram-122002, Haryana.
PAN: AABCD9621N
CIN: U45202HR2004PLC035288

…..Petitioner No.3/Transferor Company No.3

AND

4. DLF EMPORIO LIMITED
having its registered office at
Shopping Mall, Phase-I, DLF City,
Gurugram-122002, Haryana.
PAN: AACCR0093B
CIN: U74920HR1999PLC034168

…..Petitioner No.4/Transferor Company No.4

AND

5. DLF ASSETS LIMITED
having its registered office at
11th Floor, Gateway Tower,
DLF City, Phase-III,
Gurugram-122002, Haryana.
PAN: AACCD4923A
CIN: U45201HR2006PLC096585

…..Petitioner No.5/Demerged Company

AND

6. DLF CYBER CITY DEVELOPERS LIMITED
having its registered office at
10th Floor, Gateway Tower,
Phase-III, Gurugram-122002, Haryana.
PAN: AACCD3572H
CIN: U45201HR2006PLC036074

…..Petitioner No.6/Transferee Company

Order delivered on: 01.03.2024

Coram: Dr. P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
Mr. UMESH KUMAR SHUKLA, HON'BLE MEMBER (TECHNICAL)

Present:

Through counsel: Dr. UK Chaudhary, Senior Advocate
Mr.Pulkit Goyal with Ms.Manisha Sharma, Ms.Ramneek Kaur Maan

Per: P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
UMESH KUMAR SHUKLA, HON'BLE MEMBER (TECHNICAL)

ORDER

This is a joint second motion petition filed by Petitioner Companies namely; DLF CITY CENTRE LIMITED (Petitioner No.1/Transferor Company No.1), DLF LANDS INDIA PRIVATE LIMITED (Petitioner No.2/Transferor Company No.2), DLF INFO CITY DEVELOPERS (KOLKATA) LIMITED (Petitioner No.3/Transferor Company No.3), DLF EMPORIO LIMITED (Petitioner No.4/Transferor Company No.4), DLF ASSETS LIMITED (Petitioner No.5/Demerged Company) and DLF CYBER CITY DEVELOPERS LIMITED (Petitioner No.6/Transferee Company) through their authorized signatories for sanctioning the Scheme of Arrangement involving amalgamation of the Transferor Companies Nos.1 to 4 with the Transferee Company and demerger and vesting of SEZ undertakings of the Demerged Company into the Transferee Company, as embodied in the Scheme of Arrangement under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The said Scheme is attached as Annexure- A1 of the joint petition. The Petitioner Companies have also made interim prayer to allow the petitioner companies to issue the notices to the statutory authorities and publication of the notice in the newspaper 10 days before the next date of hearing.

2. The joint first motion application seeking directions for dispensation of holding the meetings of equity shareholders, preference shareholders, secured and unsecured debenture holders, secured creditors and unsecured creditors of the Petitioner Companies was filed vide Application No. CA(CAA)NO.11/CHD/HRY/2023 before this Tribunal, which was allowed vide its order dated 29.08.2023 (Annexure A-30 to the 2nd motion joint application). The main objectives, the date of incorporation, authorized and paid-up share capital of the

companies, net worth of the resulting companies, reduction of share capital of demerged company and the rationale of the Scheme had been discussed in detail in the first motion application, subsequent submission made by the applicant companies and order dated 29.08.2023. Vide the above mentioned order, the meetings of equity shareholders, preference shareholders, and class B equity shareholders were dispensed and the meetings of debenture shareholders, secured creditors and unsecured creditors were dispensed subject to compliance of certain conditions.

3. Vide above order dated 29.08.2023, the petitioner companies were directed to file the respective list of creditors as on the date of passing of the order and serve notices (i) upon their current creditors having outstanding debt amounting to not less than five percent of total outstanding debt of the company as per the list of creditors; (ii) to the debenture holders (in case of Petitioner Company No.6) as on the date of the passing of the order as well as (iii) to the statutory authorities namely (a) Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) concerned Registrar of Companies; (c) concerned Income Tax Department; (d) Real Estate Regulatory Authority (RERA); (e) Development Commissioner, Special Economic Zone Authority; and (f) the Official Liquidator pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

4. In compliance of the said directions, the petitioner companies no.1 to 6 filed two compliance affidavits having diary no. 00637/2 dated 13.09.2023 and 00637/3 dated 22.09.2023.

5. It is noted from the aforesaid compliance affidavits that with regard to Real Estate Regulatory Authority (RERA), the petitioner companies have issued notice only to Haryana Real Estate Regulatory Authority (HRERA), while as per Schedule I of the Scheme, Transferor Company No.3 i.e. DLF Info City Developers (Kolkata) Limited have projects in North 24 Pargana District in West Bengal State and Transferor Company No.4 i.e. DLF Emporio Limited have projects in Vasant Kunj, New Delhi, Delhi State. In this regard, no reason/ clarification is available in the second motion petition. It is also noted from the compliance affidavits that the statutory dues and development charges payable to government authorities are excluded from the list of creditors.

6. Vide above order dated 29.08.2023, the petitioner companies were also directed to file second motion application within 15 days after the expiry of 30 days as mentioned in section 230(5) of the Companies Act, 2013 and make specific prayer for sending the notices to (a) Central Government through Regional director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) concerned Registrar of Companies; (c) Official Liquidator; (d) Real Estate Regulatory Authority (RERA); (e) Development Commissioner, Special Economic Zone Authority; and (f) Income Tax Authorities, within whose jurisdiction the respective applicant companies are assessed by disclosing the PAN of all the applicant companies in the title of the second motion petition.

7. The second motion checklist was duly filed under the signature of Advocate appearing on behalf of the petitioners. The appointed date proposed is 01.04.2022 and the same is mentioned in the scheme at page no. 103 of the petition.

8. The petitioner companies 1, 2, 3, & 4 have submitted affidavits in the present petition that they are only required to serve the notices to the Registrar of Companies, NCT of Delhi & Haryana, Regional Director (Northern Region), Official Liquidator and Income Tax authorities, as they are not governed by any other sectoral regulators/ authorities which are likely to be affected by the present scheme. With regard to petitioner company 5, the affidavit states that in addition to the above authorities, the notice is also required to be served to Development Commissioner, Special Economic Zone Authority. Further, the affidavit submitted by petitioner company 6 states that the notice is required to be served to the BSE Limited in addition to the four authorities mentioned above by petitioner companies 1 to 4. The affidavits are annexed as Annexure A-31.

9. The petitioner companies along with their application submitted affidavits that they are not required to serve the notice to the Competition Commission of India as 100% shares or voting rights of the transferor companies are exercised directly or indirectly by the transferee company, and hence falls within the exemption provided under clause (9) of Schedule I of the Competition Commission of India (Procedure in regard to the transaction of business relating to combination) Regulations, 2011. The said affidavits are attached as annexure A-32.

10. Having regard to the above, before finally examining the matter for approval of the proposed amalgamation, this tribunal directs the following:

I. The next date of hearing of the petition shall be on 03.05.2024.

II. The notice of hearing shall be published, not less than 10 days before the next date of hearing in two newspapers, having wide circulation in Haryana, where the registered Office of the applicant companies are

situated namely, “Financial Express” (Haryana edition and Delhi NCR Edition) in English language and “Dainik Bhaskar” (Haryana edition and Delhi NCR Edition) in Hindi language by the Petitioner Companies. This notice is to enable the interested parties/ persons to raise their objections, if any, on the proposed scheme of amalgamation between the petitioner companies. All the Petitioner Companies shall also publish the notice on its website, if any.

III. In addition to the public notice, petitioners shall serve the notice of petition on the following authorities:

a. Regional director, Northern Region, Ministry of Corporate Affairs, B-2 Second wing, Second Floor, Deen Dayal Antyodaya Bhawan, CGO Complex, New Delhi-110003.

b. The Official Liquidator, Punjab and Haryana, Corporate Bhawan, Plot No-4B, 2nd Floor, Sector 27B, Madhya Marg, Chandigarh-160019.

c. The Registrar of Companies, NCT of Delhi and Haryana, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

d. The Income Tax Department, through Nodal Officer- Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector- 17E, Chandigarh, within whose jurisdiction the respective applicant companies are assessed by disclosing the PAN of all the applicant companies in the title of the second motion petition.

e. The Haryana Real Estate Regulatory Authority, New PWD Rest House, Civil Lines, Gurugram, Haryana and such other Real Estate Regulatory Authorities, where the projects of the petitioner companies are located.

f. BSE Limited, Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai-400001.

g. Development Commissioner of Special Economic Zones, Madras Export Processing Zone, Special Economic Zone, Administrative Building, GST Road, Tambaram, Chennai 600045, Tamil Nadu.

h. Development Commissioner of Special Economic Zones, Visakhapatnam Special Economic Zone (VSEZ), DLF SEZ Office, Gachibowli, Seringampalli Mandal, Ranga Reddy District, Hyderabad-500032, Andhra Pradesh.

i. Development Commissioner of special economic zones, Noida Special Economic Zone, Noida-Dadri Road, Phase-II, District- Gautam Budh Nagar, Noida, 201305, Uttar Pradesh.

j. And to such other Sectoral Regulatory Authorities, if any applicable, who are likely to be affected by the scheme.

IV. The said authorities are directed to send their representations if any, within thirty days from the date of receipt of such notice as per the provisions of sub-section 5 of section 230 of the Companies Act, 2013.

V. Further, the notices shall also be served to the objector(s) or to their representatives, if any to whom the notices were issued in compliance of

para 27(VIII)(b) of the first motion order passed in CA(CAA)No.11/Chd/Hry/2023 dated 29.08.2023, who may have made representation and who have desired to be heard in their representation along with a copy of the petition and annexure filed therewith at least 15 days before the date fixed for the hearing.

VI. Further, notices shall also be served to the all the government authorities, to whom any statutory dues or development charges are payable as per the books of accounts of the petitioner companies.

VII. The petitioner companies shall at least 7 days before the date of hearing of the petition, file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities/ persons specified above.

VIII. Objections, if any, to the 'Scheme' contemplated by the authorities, to whom notice has been given may be filed on or before the date of hearing fixed herein, failing which it will be considered that there is no objection to the approval of the 'Scheme' on the part of the authorities and this Tribunal will proceed in the matter, subject to other conditions being satisfied as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder.

IX. The petitioner companies shall individually comply with the proviso of section 232(3) or proviso to section 230(7) of the Companies Act, 2013, as may be applicable under the circumstances on or before the date fixed for hearing by filing the required certificate of the Company's Auditor.

X. The petitioner companies shall also file an affidavit denoting the objections received from public pursuant to the publication of notice of hearing in the newspapers.

Let a copy of the order be served to the parties.

-Sd-
(Umesh Kumar Shukla)
Member (Technical)

-Sd-
(PSN Prasad)
Member (Judicial)

March 01, 2024
VK